# NexusMart: what we found and how to grow profitably

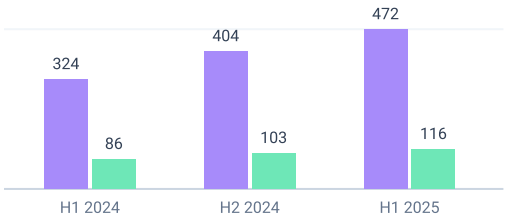
Findings and advice | Orders Jan 2024 to Jun 2025 | all values in PKR | CODE//CONNECT'26 Data Analytics

| Rs 1.14B | 26.7% | 145,331 | 5.1% | 9.2% |
|---|---|---|---|---|
| Net revenue | Margin on net rev | Orders (non-cancelled) | Return rate | Cancellation rate |

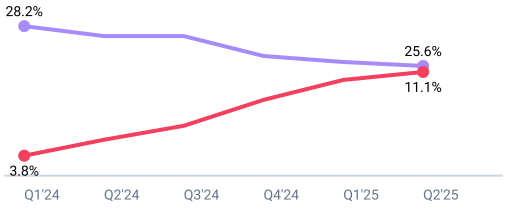
## THE SHORT VERSION

NexusMart is growing fast: sales in the first half of 2025 were 46% higher than a year earlier. Profit is not keeping up: margin rose only 34%, and the margin rate has slipped from 28.3% to 25.6%. The data points to four fixable leaks, in this order of size: deep discounting, low-margin Electronics, cash-on-delivery (COD) cancellations and returns in Fashion and Footwear. Acting on them protects profit without needing more customers.

**Sales grew faster than profit**




**Margin % falls as average discount climbs**




### 1. Growth is outpacing profit

From H1 2024 to H1 2025, net merchandise value rose from Rs 323.8M to Rs 472.4M (+46%), but margin rose from Rs 86.0M to Rs 115.6M (+34%). The margin rate fell in every quarter, from 28.3% (Q1 2024) to 25.6% (Q2 2025). Over the same period the average discount more than tripled, from 3.8% to 11.1% of list price.

### 2. Discounts above 30% lose money

Margin falls steadily with discount depth. Lines discounted by more than 30% earn a negative 14.2% margin: they brought in Rs 81.5M of sales (6.8% of the total) but a gross profit of minus Rs 11.2M, because they were sold below cost. Discounts do not buy fewer returns either.

# Detailed Operational & Category Breakdown

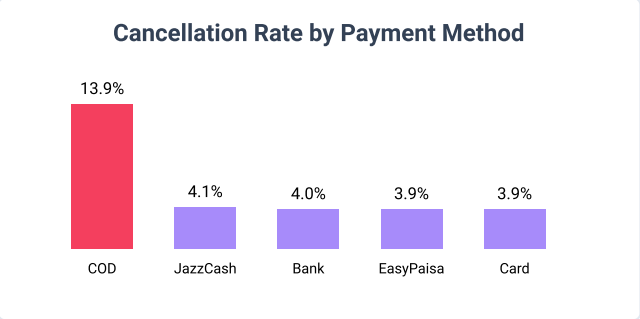
Orders Jan 2024 to Jun 2025 | Category & Logistics Intelligence

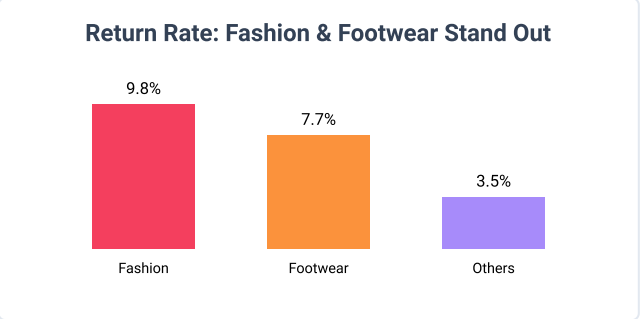
### 3. Electronics sells the most but earns the least

Electronics is 35.7% of sales (Rs 427.8M) but earns only 8.5% margin, which is 11.5% of total margin (Rs 35.0M). Fashion is 20.5% of sales but delivers 30.9% of margin (42.2% margin rate). Each extra percentage point of Electronics margin is worth roughly Rs 4M.

### 4. COD is half of all orders and most of the cancellations

COD accounts for 83,348 of 159,986 orders (52%) and cancels 13.9% of the time, against 3.9-4.1% for every prepaid method. COD cancellations lose Rs 97.3M of the Rs 121.8M of cancelled sales (80%). Cancellations are higher in Tier-3 cities (12.0%) than in Metros (7.5%).




### 5. Returns are a Fashion and Footwear problem, and slow delivery makes them worse

Fashion has the highest return rate (9.8%) and accounts for Rs 22.4M of the Rs 57.7M refunded (39%); Footwear returns 7.7%. Size/Fit is the single largest stated reason. Orders delivered in 7+ days are returned 6.9% of the time vs 4.8% for 1-4 days.

### 6. Customers, Geography and Timing Insights

**Customers:** 8,256 Champions (26% of active customers) generate 59.6% of revenue. 10,954 registered customers have never ordered.

**Places & Timing:** Punjab and Sindh produce 75% of sales. Peak events like 11.11 earn ~3.1x a regular day (Rs 6.5M vs Rs 2.1M) with stable cancellation rates.

# Advice We Give to the Business

Strategic recommendations and action plan to restore margin health

### 1. Eliminate Negative Margin Discounts

Cap overall discounts at 20% and immediately halt discounts exceeding 30%, which currently burn -14.2% margin (-Rs 11.2M loss).

### 2. Restructure Electronics Economics

Renegotiate vendor terms and bundle high-margin accessories to raise Electronics margin rate above its baseline 8.5%.

### 3. Mitigate COD Risk & Cancellations

Implement mandatory phone/WhatsApp confirmation for COD orders and offer instant discounts for prepaid conversions.

### 4. Standardize Sizing in Fashion

Introduce clear, standardized size charts and vendor quality checks to reduce the 9.8% return rate in Fashion & Footwear.

## 7-Step Action Plan Summary

| Action Item | Supporting Evidence | Key Metric to Track |
|---|---|---|
| **1. Cap discounts at 20%** | Lines over 30% earn -14.2% margin (-Rs 11.2M). | Margin %, avg discount % |
| **2. Fix Electronics margins** | 35.7% of sales, but only 11.5% of total margin. | Electronics margin % |
| **3. Push prepaid & confirm COD** | COD cancels 13.9% vs ~4% prepaid (Rs 97.3M lost). | COD cancellation rate |
| **4. Cut Fashion returns** | 9.8% return rate; Size/Fit is top reason. | Return rate by category |
| **5. Set delivery promises** | 7+ day deliveries double return rates (6.9%). | On-time delivery % |
| **6. Win back 'At Risk' users** | 4,321 At Risk customers represent Rs 124.4M past sales. | Repeat purchase rate |
| **7. Outcome-based seller rating** | Gold sellers return more than Bronze sellers (5.3%). | Seller quality score |

### THE BOTTOM LINE

NexusMart does not have a demand problem; it has a **margin-leak problem**. If we only do three things, they should be: **stop selling below cost (cap discounts)**, **get COD orders confirmed or prepaid**, and **fix size and fit information in Fashion and Footwear**. Each one targets a clear loss visible in the data, and the dashboard will track all three every month.